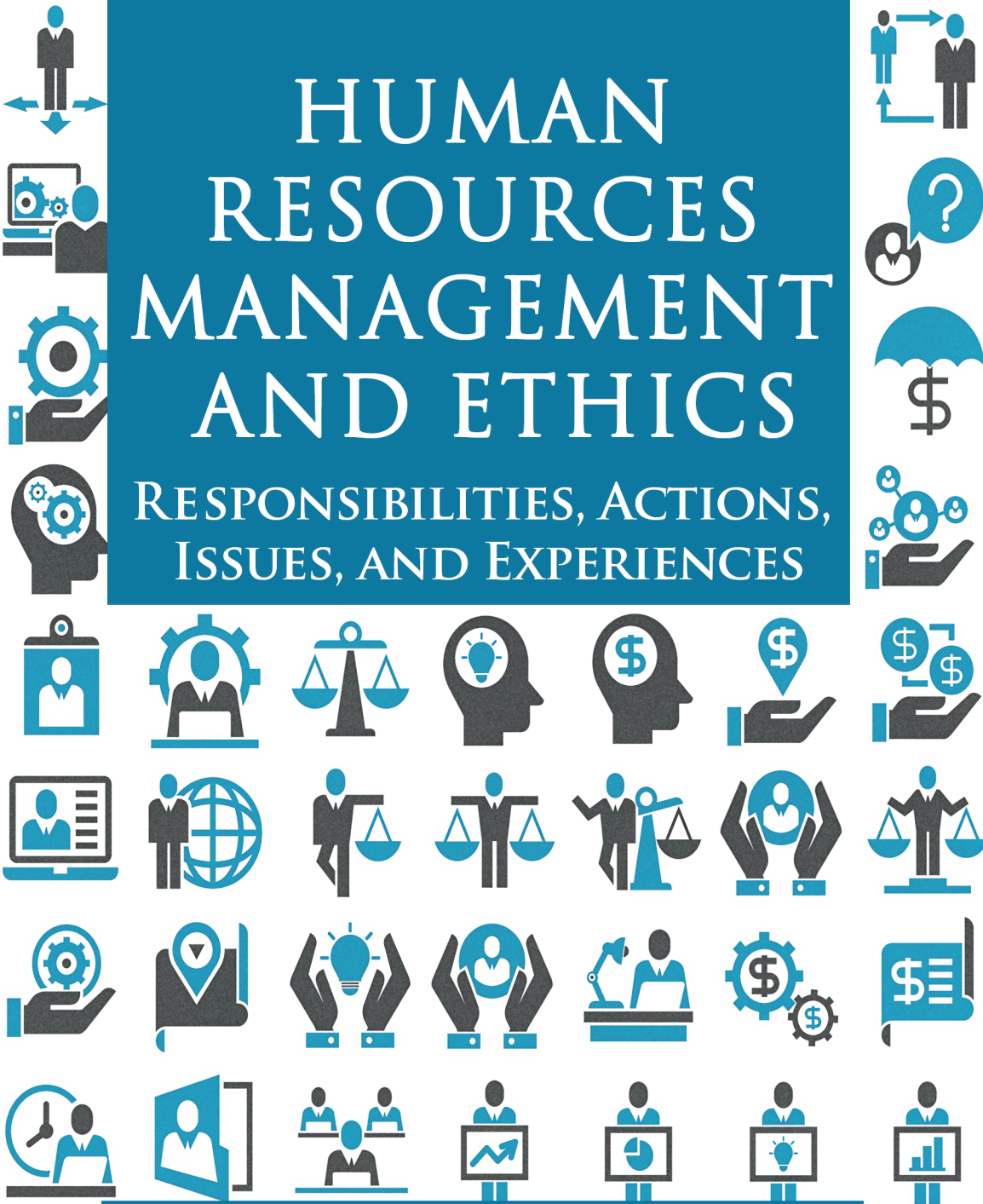
HUMAN RESOURCES MANAGEMENT AND ETHICS

Responsibilities, Actions, Issues, and Experiences



RONALD R. SIMS
& SHERI K. BIAS, EDITORS

A VOLUME IN
CONTEMPORARY HUMAN RESOURCES MANAGEMENT:
ISSUES, CHALLENGES, AND OPPORTUNITIES

Human Resources Management and Ethics

Responsibilities, Actions, Issues, and Experiences

A Volume in Contemporary Human Resource Management: Issues, Challenges, and Opportunities

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Ronald R. Sims
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Human Resources Management and Ethics

Responsibilities, Actions, Issues, and Experiences

Edited by

Ronald R. Sims
William and Mary

and

Sheri K. Bias
Saint Leo University



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CHAPTER 1

HUMAN RESOURCES MANAGEMENT AND ETHICS

An Introduction and Overview

Sheri K. Bias and Ronald R. Sims

INTRODUCTION

Human resources management (HRM) academics and professionals must continue to rethink what they can do to help individuals and their organizations reinvent and institutionalize ethics and ethical strategies in and outside of HRM functions, their broader organizations and the world of work. This is increasingly evident as the role, responsibilities, actions, issues, and experiences of HRM researchers and practitioners continues to evolve beyond basic legal and compliance with business principles. That means the need to establish and reinforce the role ethics can and must play in any HRM efforts to achieve an organization's strategic goals and performance.

There is little doubt that HRM is significant in improving employee and organizational performance. Additionally, it is quite evident that all

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HRM practices need to be fair in their approach and application and the call for strong appreciation of ethics in HRM should be the cornerstone of any organization's mission or purpose, strategy or values. Further, research strongly suggests (1) a need for the application of ethical principles in HRM which are seen to be fair, acceptable across the board and can be considered as a basis for a minimum standard to evaluate ethics in HRM practices and to determine acceptable conduct in HRM functions; (2) that HRM practitioners take responsibility in promoting ethical behaviors that support organizational goals and societal ethical expectations of today's organizations; and (3) the importance of HRM in developing and sustaining ethical culture in organizations.

In sum, organizational leaders and other members increasingly accept that HRM can effectively contribute to developing and sustaining ethical principles, moral culture, and ethical climate that support each employees and organization's behaviors and performance. HRM practitioners have a duty to help entrench ethical orientation in every purposeful dimension of HRM and work with other organizational members to ensure that such an orientation is a keystone of the broader organizations actions, issues, and experiences.

This chapter first offers a brief discussion of human resource management and the skills of HRM professionals. Next, the chapter discusses ethical issues typically involved in HRM practices and policies within the organization. The discussion then focuses on the role of HRM professionals in creating an ethically-oriented organization culture. The chapter concludes with an overview of this book and more specifically the remaining chapters.

HUMAN RESOURCE MANAGEMENT

Human resource management (HRM) refers to the policies, practices, and systems that influence employees' behavior, attitudes, and performance. There are several important HRM practices: analyzing work and designing jobs, attracting potential employees (recruiting), choosing employees (selection), teaching employees how to perform their jobs and preparing them for the future (training and development), evaluating their performance (performance management), rewarding employees (compensation), creating a positive work environment (employee relations) and supporting the organization's strategy (HRM planning and change management).

HRM practices are valuable to an organization. Decisions such as whom to hire, what to pay, what training to offer, and how to evaluate employee performance directly affect employees' *motivation* and *ability* to provide goods and services that customers or clients value. By influencing who works and how those people work, HRM contributes to basic measures of

success such as quality, profitability and customer or client satisfaction. So, HRM helps determine the effectiveness and competitiveness of business or other organization.

Human resources have these necessary qualities:

1. Human resources are *valuable*. High-quality employees provide a needed service as they perform many critical functions;
2. Human resources are *rare* in the sense that a person with high levels of the needed skills and knowledge is not common. An organization may spend months, for example, looking for a talented and experienced manager or technician;
3. Human resources *cannot be imitated*. To imitate human resources at a high-performing competitor, you would have to figure out which employees are providing the advantage and how. Then you have to recruit people who can do precisely the same thing and set up the systems that enable those people to imitate your competitor;
4. Human resources have *no good substitutes*. When people are well trained and highly motivated, they learn, develop their abilities, and care about customers. It is difficult to imagine another resource that can match committed and talented employees.

The responsibilities of HRM functions are:

1. Analyzing and designing jobs: based on job analysis and design, an organization can determine the kinds of employees it needs;
    a. Job analysis: the process of getting detailed information about jobs.
    b. Job design: the process of defining the way work will be performed and the tasks that a given job requires.
2. Recruiting and selection;
    a. Recruitment: the process through which the organization seeks applicants for potential employment.
    b. Selection: the process by which the organization attempts to identify applicants with the necessary knowledge, skills, abilities, and other characteristics that will help the organization achieve its goals.
3. Training and development;
    a. Training: a planned effort to enable employees to learn job-related knowledge, skills, and behavior.
    b. Development: the acquisition of knowledge, skills, and behaviors that improve an employee's ability to meet changes in job requirements and in customer demands.

4. Performance management;
   The process of ensuring that employee's activities and outputs match the organization's goals. The activities of performance management include specifying the tasks and outcomes of a job that contribute to the organization's success. Then various measures are used to compare the employee's performance over some time period with the desired performance.
5. Compensation and benefits;
   The pay and benefits that employees earn play an important role in motivating them. This is especially true when rewards such as bonuses are linked to the individual's or group's achievements. Employees need information about their health plan, retirement plan, and other benefits. Keeping track of this involves extensive record keeping and reporting to management, employees, the government, and others.
6. Employee relations;
   Employees turn to the HRM function for answers to questions about benefits and company policy. If employees feel they have been discriminated against, see safety hazards, or have other problems and are dissatisfied with their supervisor's response, they may turn to the HRM function for help. The HRM function maintains communication with union representatives to ensure that problems are resolved as they arise.
7. Personnel policies;
   Organizations depend on their HRM function to help establish policies related to hiring, discipline, promotions, and benefits.
8. Compliance with laws;
   Laws govern such matters as equal employment opportunity, employee safety and health, employee pay and benefits, employee privacy, and job security.
9. Support for strategy.
   HRM planning: Implies identifying the numbers and types of employees the organization requires to meet its objectives. Using these estimates, the HRM function helps the organization forecast its needs for hiring, training and reassigning employees.

Skills of HRM Professionals

Todays and tomorrow's HRM professionals will continue to be responsible for being involved in making hiring and firing decisions, keeping watch over employee welfare and handling an organization's most sensi-

tive information. The Society for Human Resource Management (SHRM) competency model (n.d.) identifies what it takes to be a successful HRM professional—across the performance continuum; around the globe; and across all career levels, job roles and job functions. SHRM worked with HRM professionals around the globe to create the model, which:

- Defines the competencies and knowledge necessary for effective practice as an HRM professional.
- Supports HRM practitioners in their career and professional development.
- Helps organizations build approaches to identify and cultivate high-quality HRM leaders, individual contributors, and teams.

The SHRM competency model provides the foundation for talent management throughout the HRM lifecycle and helps organizations ensure that HRM professionals are proficient in the critical behaviors and knowledge necessary to solve today's most pressing people issues and strategies. The nine competencies in the model are: communication, relationship management, consultation, leadership and navigation, global and cultural effectiveness, critical evaluation, business acumen, HR expertise (HR knowledge) and ethical practice. While there are other lists of skills or competencies they tend to overlap with those in the SHRM competency model.

Another way to think of the skills of HRM professionals is as follows (Worldsupporter, 2012–2013):

1. *Credible activists*—means being so well respected in the organization that you can influence the positions taken by managers or other leaders. HRM professionals who are competent in this area have the most influence over the organization's success, but to build this competency, they have to gain credibility by mastering all the others.
2. *Cultural steward*—involves understanding the organization's culture and helping to build and strengthen or change that culture by identifying and expressing its values through words and actions
3. *Talent manager/organizational designer*—knows the ways that people join the organization and move to different positions within it. To do this effectively requires knowledge of how the organization is structured and how that structure might be adjusted to help it meet its goals for developing and using employees' talents.
4. *Strategy architect*—requires awareness of business trends and an understanding of how they might affect the business, as well as opportunities and threats they might present. A person with this

capability spots ways effective management of human resources can help the organization seize opportunities and confront threats to the organization.

5. *Organization allies*—know how the organization makes money, who its customers are, and why customers buy what the company sells.
6. *Operational executors*—at the most basic level carry out particular HRM functions such as handling the recruitment, selection, training, or compensation of employees. All the other HRM skills require some ability as operational executor because this is the level at which policies and transactions deliver results by legally, ethically, and efficiently acquiring, developing, motivating, and deploying human resources.

Over the years, HRM has moved from personnel managers as intermediaries to HRM integration with strategy. And there is every indication that the role of HRM professionals will continue to evolve.

HUMAN RESOURCE MANAGEMENT AND ETHICS

In their efforts to address the national and global challenges of corporate fraud, ethical scandals or unethical behavior many contemporary organizations are relying more and more on their HRM department or staff. As a result, HRM professionals are finding that they are increasingly involved in and must be especially sensitive to ethical issues because of their key roles in the development of human resources or "people" policies, practices, and programs. Policies, practices and programs that often make a major difference in the extent to which employees exhibit ethical or unethical behavior and the ethical culture or climate developed and maintained in their organizations are an increasingly important or value added part of an effective contemporary HRM department.

Given the sheer amount of scandal historically and lately, it would be irresponsible—and even dangerous—for HRM professionals, or any organizational leader, to ignore ethics. Of course, it is a slippery topic. It is difficult to define, and often cannot be categorized into neat boxes of right and wrong. The complexity and ambiguity could lead many HRM professionals to want to avoid the topic altogether. Yet, addressing ethics is an important part of any business plan. If an organization's leadership only focuses on results, the methods used to attain those results could be suspect. Even Bernie Madoff started out with good intentions!

Yet with such a lofty and complex subject, how can other HRM leaders include ethics in organization policy and strategies? The first step is to invite ethics to the table. Ethics need to be part of every organization's

culture, business plan, goals, and mission statement. It should be a focus of the onboarding process, leadership training, and board retreats. Ethics should help shape the organization's values and culture.

It is not enough for an organization's mission statement to include a vague line about being ethical. HRM personnel should help leadership and employees define what that means for the organization. Having real conversations about what could happen in a given organization or industry will help bring the topic closer to home. What is happening elsewhere in business? Have any competitors been cited for ethical lapses on best practice ethical conduct? What types of ethical issues could unfold at this organization? What safeguards can we put in place to make sure that does not happen?

As alluded to earlier, HRM philosophies are woven into the fabric of the organization, powerfully impacting the firm's culture, policies, and practices. HRM personnel work through and with people across all levels of the organization; hence, the logical importance of ethics in all that HRM does. The challenge lies within the inherent nature of ethics. Ethics is personal. One's ethical lens develops through one's family, education, relationships, and life experience. As a result, organizational leaders, supervisors, frontline employees, and HRM personnel each possess different standards of, and approaches to, ethics. The potential for ethical dilemmas abounds in HRM.

HRM's main concern is people. Thus, HRM policies impact all functions within an organization. Given the complexity, pressures, and constant change facing organizations, the rise of ethical issues is no surprise—some of which lead to litigation in the courts. Commonly cited drivers of ethical dilemmas facing organizations, their employees, and HRM personnel include:

- Constant or dramatic change
- Longer working hours
- Fewer benefits
- Exorbitant executive/CEO pay
- Job insecurity
- Technology/information accessibility
- Pressure to produce
- Pressure to support family
- Peer pressure
- Mergers/acquisitions
- Competition
- Communications

- Working conditions of U.S. companies and their employees in other countries
- Labor relations
- Incentive compensation
- New laws
- Societal trends/changes

Clearly, the ethical landscape for HRM and their organizations is increasingly complex. Thus, the need to understand ethical issues in HRM and to ensure that systematic and systemic HRM-driven ethics is well established.

Ethical Issues in HRM

HRM professionals must handle a host a variety of ethical (and legal) issues like those in Figure 1.1. From the regulations of the Equal Employment Opportunity Commission to the standards and practices of organizations such as the SHRM and the Human Resource Management Institute, HRM professionals constantly must be monitored to make sure it complies with hiring, promotion and termination guidelines. Decisions about benefits, conflict resolution, paid time off and maternity leave also can present difficulties. As evident, from a broad perspective ethical issues can be represented in an organization's major HRM areas and HRM professional's responsibilities to include: recruitment/selection; compensation and reward management; training and development; performance appraisal/evaluation; health and safety; labor/management relations; and communication at work.

In reality, it might be safe to say that of all the organizational issues or problems, ethical issues are the most difficult ones for HRM professionals (and other organizational leaders) to handle or deal with. Similar to Figure 1.1, Figure 1.2 (see Johnson, 2018; Scott, n.d.; Worldsupporter, 2012–2013) shows ethical issues in HRM arise in employment, remuneration and benefits, industrial/employee relations and health and safety.

Cash and compensation plans. There are ethical issues pertaining to the salaries, executive perquisites, and the annual incentive plans, and so forth. HRM professionals are often under pressure to raise the band of base salaries. There continues to be pressure upon the HRM function to pay out more incentives to the top management and the justification for this is the need to retain the latter. Further ethical issues appear in HRM when long term compensation and incentive plans are designed in consultation with the CEO or an external consultant. While deciding upon the payout there is pressure on favoring the interests of those in the C-suite in comparison to that of other employees and stakeholders.

Figure 1.1

HRM Ethical Issues

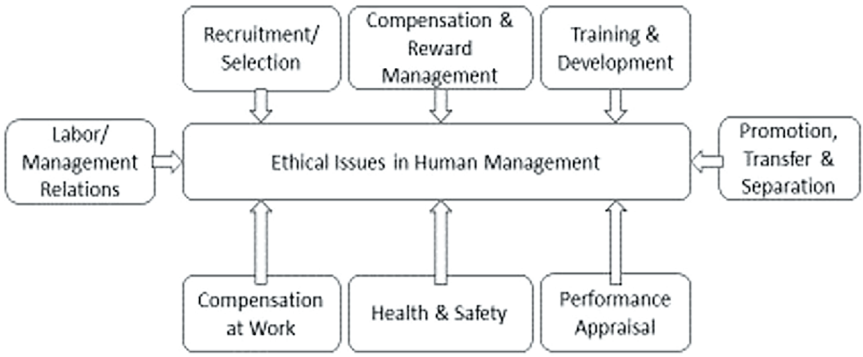


Figure 1.2

HRM Ethical Issues



Honoring benefit provisions. Some organizations have reneged on promises they made regarding pension programs. HRM has an ethical responsibility to make sure that any benefits offered to employees actually pay as intended. This means monitoring organization-managed benefits as well as insurance companies to make sure there are no financial problems that would shortchange employees.

Workplace diversity, discrimination, and harassment. Workplace diversity encompasses the various qualities, characteristics and experiences that distinguish one worker from another. These characteristics can be differences in race, gender, age, social status, or other traits that make an individual unique. Treating a person differently because of these differences poses an ethical issue that faces HRM professionals. Until recently in many organizations the employees were differentiated on the basis of their race, gender, origin and their disability. No longer is this the case since the evolution of laws and a regulatory framework that has standardized employee behaviors towards each other. HRM professionals implement policies that promote diversity in the workplace and welcome the differences of the entire workforce. This also means that they must ensure the organization remains compliant with anti-discrimination and harassment laws (see Scott, n.d.) Employee discrimination and harassment on the basis of race, gender, or religion is an ethical issue HRM professionals may face daily. Laws that prohibit discriminatory behavior such as the Civil Rights Act and Americans with Disabilities Act help HRM professionals develop training and awareness programs to prevent discrimination and harassment in the workplace. These laws also establish procedures human resources may use to report and discipline workers who display inappropriate discriminatory behavior.

Employment issues—fair hiring and justified termination. HRM professionals often may face bigger challenges or dilemmas in employee hiring. One dilemma stems from the pressure of hiring someone who has been recommended by a friend, someone from your family or a top executive. Another dilemma arises when you have already hired someone, and he/she is later found to have presented fake documents. Two different ethical challenges may arise, and both are critical. In the first situation the person has been trained and the position is critical. In the second situation the person has been highly appreciated for her work during her short stint or she has a unique blend of skills, a high level of performance and with the right kind of attitude. Both the situations are sufficiently dilemmatic to leave even a seasoned HRM professional in a difficult position. Hiring and termination decisions must be made without regard to ethnicity, race, gender, sexual preference, or religious beliefs. HRM professionals must take precautions to eliminate any bias from the hiring and firing process by making sure such actions adhere to strict business criteria.

Labor costs. HRM professionals must deal with conflicting needs to keep labor costs as low as possible and to offer fair wages. Ethics come into play, for example, when HRM must choose between outsourcing labor to countries with lower wages and harsh living conditions and paying competitive wages in the United States. While there is nothing illegal about outsourcing labor, HRM professionals can create a public relations problem if consumers object to using underpaid workers to save money.

Opportunity for new skills. If HRM professionals choose who gets training, it can run into ethical issues. Because training is an opportunity for advancement and expanded opportunities, employees who are left out of training may argue that they are not being given equal opportunities in the workplace. HRM professionals must make certain to clarify the business reason behind its training decisions so employees understand why specific individuals receive training when others do not.

Privacy Issues. Any person working with any organization is an individual and has a personal side to their existence which they demand should be respected and not intruded. The employee wants the organization to protect their personal life. This personal life may encompass things like their religious, political, social beliefs, and so forth. However certain situations may arise that mandate inquisitive behaviors on the part of the employer. For example, mail scanning is one of the activities used to track the activities of an employee who is believed to be engaged in activities that are not in the larger benefit of the organization. Similarly, there are increasing interests by employers of employee's social media presence or behaviors. Because HRM professionals are involved in most aspects of employee relations (e.g., hiring, firing, compensation, benefits, and leaves) they have access to extremely sensitive information. Keeping this information private is an ethical matter facing HRM professionals and they have an obligation to maintain the confidentiality of an employee's personal data.

Safety. Employee safety is also an issue facing HRM professionals. HRM professionals must work to maintain safety standards and clean working conditions for employees based on Occupational Safety and Health Administration requirements (Johnson, 2018). They must prevent and correct potentially dangerous situations and promptly act on hazardous conditions that present safety concerns in the workplace. They are also responsible for identifying potentially dangerous employees and ensuring they do not harm themselves or others within the organization. HRM professionals must make sure lighting and air quality are adequate. Employees also have the right to expect a workplace free of sexually suggestive signs or comments, and disabled employees must have access to the building.

Similarly, as depicted in Figure 1.2 there are ethical issues in HRM that pertain to employee health, restructuring and layoffs and employee responsibilities. In some instances, there is still a debate going on as to

whether such activities are ethically permitted or not. Layoffs, for example, may not be considered as unethical as they might have been in the past. As should be evident in our discussion to this point ethical issues are intertwined in all HRM policies and processes.

Infusion of HRM Processes

Like its policies, HRM processes are infused throughout any organization. Ethics, therefore, should be a critical component of all HRM processes, including recruiting and selection, goal setting, coaching, performance reviews, compensation and rewards, career planning, training and development, and leadership/management training and development.

Recruiting and selection. The recruiting and selection process introduces employees to the culture and inner workings of the firm. Interviewers, hiring managers, supervisors, and HRM practices face their first ethical tests during this phase. Are potential employees presented with a truly accurate picture of the organization, or just the positives? Does the organization seek and select employees with a history of honest, ethical behavior, or is that criterion ignored in selection? Are the most qualified individuals hired, or is the decision based on bias, favoritism, or nepotism?

Goal setting. Effective goals are specific, measurable, attainable, results-oriented, and time based (SMART). In reality, performance goals are often a source of contention for employees. Goals that are too high de-motivate employees or, worse, encourage sabotage, while low goals fail to motivate. Are goals established based on one's talent and ability, or tied strictly to organizational productivity demands? Are they determined in collaboration with employees or decreed by management?

Coaching. Coaching entails guiding employees to success, modeling behavior, and providing developmental feedback. This means identifying and allowing them to coach and mentor others. Are supervisors and managers actively engaged in coaching and developing their employees to behave ethically? Do leaders and manager's model ethics or winning at any cost? Is appropriate and timely feedback provided regarding ethical and unethical behavior?

Performance feedback and reviews. Ethical behavior should be demanded in all aspects of organizational life. Ethics should be incorporated into the performance review process. If truly important, "ethics" should be a specifically evaluated component of behavior in formal and informal performance evaluations of employees at all levels (including executive).

Compensation and rewards. Exemplary ethical behavior deserves reward, while unethical behavior should be consistently disciplined. Organizations

that value ethics heavily weight ethical behavior in compensation, reward, and promotion decisions. Are employees encouraged to work together, or to enhance their success at any expense? Are salespeople paid for how much they sell, or how they sell? Are employees punished for being the bearers of bad news, or rewarded for identifying opportunities for improvement? Are employees fairly and equitably compensated for their work?

Career planning. Career planning helps employees identify their talents and long-term goals while enabling the company to plan for future human resource needs. Are supervisors and managers equipped to successfully guide their employees in career planning? Do managers provide career planning guidance for their employees, or selfishly hold them back to suit their own needs?

Training, development, and interventions. Training and development engagements offer abundant opportunities to promote organizational and individual ethics. Ethics education should be continuous and organization-wide. Has an ethical dimension been incorporated into all ethics education? Is ethics education mandatory for employees at all levels? Does unethical behavior trigger interventions? Does the firm define success by results *and* the way they are obtained?

Leadership/management training and education. Ethics training should be mandatory for all employees, including managers, leaders, and executives. Do leaders communicate an honest, ethical message? Do they mandate ethical behavior of themselves, their peers, and the organization? Are leaders held accountable for ethical behavior?

Clearly, there are things that HRM personnel and other leaders can do to build positive employee relations. They can cultivate trust and ensure that employees are treated fairly. They must always exhibit a deep and evident respect for their employees and to "putting employees first." The organizations HRM philosophy should emphasize trust, respect, and caring about their employee's personal and professional growth. By focusing on these kinds of things HRM personnel can help their organizations establish and maintain positive employee-employer relationships that contribute to satisfactory productivity, motivation, morale, and discipline, and to maintain a positive, productive, cohesive and ethical work environment today and tomorrow.

HUMAN RESOURCE MANAGEMENT AND ETHICS IN HUMAN RESOURCES MANAGEMENT

Today's and tomorrow's HRM professionals have and will continue to play a significant role in the moral, ethical, and legal responsibilities of their organizations. Consider, for example, the reality that beyond such things as

compensation and benefits, HRM professionals continue to be tasked with challenges like addressing issues of inequality and setting standards around workplace conduct, by fostering diversity in the workforce, Very often, HRM ethics policies around these issues directly impact how an organization attracts and retains talent. In a recent article, Heinig (2019) noted, for example, that 79% of American workers said they would not accept a job with a higher salary from a company that has failed to take action in sexual harassment cases. Employees were surveyed to determine how employees act when faced with unethical company behavior. The surveyed employees were least tolerant of company behavior that negatively impacts them or coworkers directly, and employees were most likely to protest privately about any disagreeable behavior. Results from surveys like this show that a company's ethics directly impacts its relationship with employees. Historically, organizations used ethics and compliance programs to satisfy legal and regulatory expectation, but today's employees' demand more from employers. While the increase in HRM ethics conversations that challenge the status quo in the workplace are signs of progress, they require HRM professionals to make tough ethical decisions.

According to Ethics.org (2018), 30% of American employees have witnessed a rules violation at work. Work increasingly consumes more time in workers' lives (Washington Center for Equitable Growth, 2016). Employees demand honesty and integrity from the companies that take up so much of their time. An organization's ethics impact its ability to mitigate risk from within and hire, promote, and retain the best talent.

Taking on the responsibility of acting as the moral heart of an organization can seem like an overwhelming task. But in reality, no matter the issue, HRM professionals that uphold strong ethical standards and strive for a fair and/or equitable work environment will maintain employee confidence and help organization's attract potential and new candidates. As will be discussed at different points in this book there are a number of HRM ethics guidelines that HRM professionals and their organizations can do to improve, for example, ethical decision making and become an increasingly value-added resource for their employees. For now, here are some things HRM professionals can do to improve ethical decision making in their organizations:

1. Understand the relevant laws. HRM professionals need to make tough decisions and help other organizational leaders hold employees accountable for unethical or wrongful actions—and the reality is that that is not an easy task. To do so effectively requires understanding, confidence, and the requisite authority. Having an understanding of important labor laws and compliance practices will help HRM professionals and others in their organizations

manage these issues as they arise, as opposed to after the fact. For example, if an employee were to request short-term disability, the organization with guidance from their HRM professionals would need to understand their benefits provider's short-term disability policy and eligibility. HRM professionals would also be expected to know insurance laws and explain them to employees. Taking the time to increasingly understanding the relevant laws early ensures the organization is equipped with the knowledge to navigate legal challenges in the future.

2. Make sure you continue your own professional development (e.g., an individual professional development plan). HRM professionals recognize that the field continues to evolve or change, especially as new technology and related conversations continues to change the way we work. Staying on top of these changes requires a new set of HRM skills and knowledge. Participating in continuous training and learning is one way for HRM professionals to stay ahead of the curve. HRM professionals continue to pursue certifications and advanced education opportunities specific to their field through organizations like the Society for Human Resource Management, the HR Certification Institute and a number of colleges and universities. Many HRM professionals become specialists in a particular area, like compensation (payroll/benefits, or recruiting. Others, like HRM generalists who have a broader set of responsibilities, very often choose to continue their professional development through continuing education. Of course, there is no one-size-fits-all approach to learning and development. HRM professionals in conjunction with their supervisors and peers should regularly assess their progress and enhance their knowledge, skills, abilities, and experiences that helps them achieve the objectives of their individual professional development plan.
3. Role-model ethical HRM leadership. Ethical issues and dilemmas or challenges, for example, like an employee telling an HRM person that their immediate supervisor or manager has done something unethical or treated them unfairly, very often ends up needing the intervention of HRM professionals. Such a situation requires HRM professionals to engage in tough conversations with everyone involved. Being an ethical HRM leader means HRM professionals must be confident in their ethical decisions and effectively communicating them to employees. The Josephson Institute of Ethics (n.d.) suggests that making an ethical decision requires three things:

a. Commitment: "The desire to do the right thing regardless of the cost."
b. Consciousness: "The awareness to act consistently and apply moral convictions to daily behavior."
c. Competency: "The ability to collect and evaluate information, develop alternatives and foresee potential consequences and risks."

It is important for HRM professionals to understand where they and their organization stand on important issues which is critical in this process. Like any individual, once HRM professionals and other organizational leaders define these ethical standards, they can decide how they will respond to any HRM ethics issue or dilemma or challenge—and sustain employees' trust and respect.

4. Understand conflicts of interests. Understanding conflicts of interest is important because they are detrimental to how a business operates because they create internal politics that distract from an organization's bottom line and cause the quality of work to deteriorate.
5. Implement diversity and inclusion practices, because as Ebay's Chief Diversity Officer Damien Hooper-Campbell (First Round, n.d.), notes "diversity is about making people feel like they belong" (p. 1). If everyone feels like they belong then there is less likelihood that morale will be low or they will end up doing the "wrong thing." By working with other organizational members to develop a list of organization values that are important to the organization and hold employees accountable, HRM professionals' help set the standard for diversity and inclusion at their organization.
6. Make sure to keep information confidential. HRM professionals have access to a great deal of personal and sensitive employee's data and information. For example, everything from social security numbers to medical records, HRM professionals have access to a lot of confidential information about employees. In making sure paperwork and electronic systems are secure or free from cybersecurity threats or breaches HRM professionals are in a good position to ensure that their organization's information is protected.

   HRM professionals also have a legal obligation to keep everything an employee tells them confidential, unless otherwise specified or discussed. For example, if an employee expresses a concern to an HRM professional about a colleague or tells them they have witnessed a racist or sexist behavior at their work unit, it

is the HRM professionals' job to manage this information without revealing their sources.

During the creation of this text, the world experienced the unprecedented impacts from COVID-19. These impacts posed unique circumstances for HRM professionals in balancing the continuity of the business with the safety needs of employees as well as government mandates for essential operations. The Centers for Disease Control and Prevention (CDC) has issued guidance preventing person-to-person transmission which has been critical to employers (Green, 2020). Along with these unique circumstances came unique ethical challenges that, even while many businesses had contingency plans, could not fully have been anticipated based on the severity of the COVID-19 pandemic.

While the full impacts from the COVID-19 pandemic are still evolving, what is expected is that there will be changes to the field of HRM in the "new normal" once business begin operating again. According to McElgunn (2020), there will be more of a permanency of telework within organizations. Syed (2020) describes that managing the flexible working arrangements of employees is a top concern. Many organizations have experienced the pains of inadequate infrastructure which has been strained resources and become a priority for upgrade because many employees were teleworking. Yet, organizational policy, the need to ensure that employees are actually performing, and maintaining the culture is where ethics and HRM infrastructure will align. These challenges must be at the forefront of HRM's contributions, and the following questions should be considered:

- How should job descriptions change as a result of the new normal?
- What changes need to be made to the recruiting pipeline to maintain connection with candidates as well as taking appropriate action if an employee leaves?
- How can HR translate existing work protocols for the coming new normal?
- How can attendance and performance be monitored?
- What training is needed to set employees up for success in working remotely?
- Will employees be reimbursed for expenses they encounter while working from home?
- What are the implications on negotiated bargaining agreements?
- How will the organization ensure alignment with total rewards, particularly time off for employees, in a teleworking environment?

- Are new disciplinary policies needed to cover situations of remote operation?

As the implications from the pandemic continue to unfold, HRM professionals will need to be fully engaged in traditional HRM duties, but also newly emerging activities which will ensure business continuity. Ethics will need to be the guiding principle for actions and interactions. Without this as a core value, the organization could struggle to trust employees—who are the life's blood of the operation.

While HRM professionals face and will continue to face a number of hurdles that can make their jobs even more challenging, it can also be equally rewarding. In reality, all HRM professionals give an organization meaning by improving and enhancing the employee experience. As HRM professionals continue to navigate the ethical challenges of their job, they are increasingly in a position to more effectively attract and retain a talented workforce and thus, create an ethically-oriented organization through HRM efforts.

HRM PROFESSIONALS ROLE IN CREATING AN ETHICALLY-ORIENTED ORGANIZATION CULTURE

Discrimination as it relates to age, sex and gender, race, sexual harassment, health and safety issues, and compliance with federal and state laws and regulations make up the main ethical issues faced by HRM professionals. As suggested in our earlier discussion, todays, and tomorrow's HRM professionals must be attuned to the ethical issues to ensure employees are protected in the workplace and creates an ethically-oriented organizational culture. The issues continue to become more complex with changing societal values and now create a never-ending challenge that HRM professionals and other organizational leaders must recognize can lead to damage to the organization's reputation and legal liability.

The most important ethical issue is to treat employees in the workplace the way HRM professionals and other organizational leaders would want to be treated. Mintz (2016) has suggested that the highest ethical standard with respect to HRM issues is fairness. Unfortunately, the mistake some HR professionals make is to equate ethics with the law. The reality is that it is not true that so long as an organization follows all the workplace laws it is operating ethically. This notion of *ethical legalism* misses the point that issues may arise in todays and tomorrow's workplace that are not covered by a law or regulation. The question then for HRM professionals becomes how best to handle it and the answer is in accordance with the ethical concept of justice: *Treat equals equally; treat unequal's unequally.*

Traditionally, it is not uncommon for the law to have to catch up with the needs and rights of employees for specific protection. For example, for many years' employees with disabilities were discriminated against, at least until the Americans with Disabilities Act was passed in 1990. Organizations who were sensitive to ethics issues of fairness, respect, caring and compassion would have acted without the need for a law to require accommodations.

Going beyond the requirements of the law, creating an ethically-oriented culture or organization environment is critical to managing or leading todays and tomorrow's employees in a way that promotes their interests as well as those of the organization. HRM professionals and other organizational leaders continue to have a powerful role to play in the embedding of ethical values (and behaviors or actions) into an organization and collaboration operates in two directions. HRM professionals mutually support each other in a number of areas. HRM continues to have an important role to play in strategic recruiting and hiring to develop an ethical workforce including:

- Employee retention by treating them with dignity, respect, and making them accountable for their actions through performance management and appraisals that measure ethical behavior
- Developing training programs that incorporate an ethical dimension
- Monitoring ethical behavior with other participants in the process, such as ethics officers; and
- Enhancing the reputation of the organization by treating stakeholders (i.e., employees, customers, suppliers) fairly and being responsive to their needs.

Employee perception of how HRM professionals and the organization "walk the talk" is an important aspect of embedding an ethical culture within an organization. It is important that employees know that an area of ethical concern will be handled appropriately by HRM professionals and other organizational leaders.

As noted earlier, HRM professionals play a key role in ethics by developing policies that treat employees ethically. In doing so, the organization garners long-term employee trust and loyalty, which conveys a range of distinct benefits to employers. Loyal employees gain more experience working with their employers and can help to better understand the inner workings of the organization. This in turn can increase employees' productivity and efficiency over time in addition to keeping recruiting and training costs under control.

A solid reputation as an ethical employer occurs over time by gaining the commitment of employees to identify with the ethical values of the organization as embedded in a code of ethics and strengthened through ethics training. Ethical leadership by HRM professionals and other leaders is essential to promoting a culture of ethics and a tone at the top that fosters ethical behavior. Ethical HRM professionals and other leaders lead by example and create a culture of mutual respect and dignity, where ethical decision-making is valued and rewarded. In conclusion, for HRM professionals and their practices to be considered ethical, they must satisfy the three basic standards:

1. First, HRM practices must result in the greatest good for the largest number of people;
2. Second, employment practices must respect basic human rights of privacy, due process, consent and free speech;
3. Third, organizational leaders must treat employees and customers/clients equitably and fairly.

THIS BOOK AND THE CHAPTERS THAT FOLLOW

The objective of this book is to explore and provide an in-depth look at the responsibilities, actions, issues, and experiences related to HRM and ethics for individual employees, organizations, and the broader society. Like other departments in the broader organization HRM professionals will need to increasingly demonstrate how they contribute to an organization's ethical orientation and overall performance or success. While the ethical challenges, trends, and issues impacting employees, organizations and HRM professionals will continue to change over the years (consider the recent ethical challenges related cybersecurity and data breaches) the bottom-line of organization success is the clear reality that doing the right thing or institutionalizing an ethical culture or character is just as important to various stakeholders.

The chapters in this book provide an updated, current, and future look at the relationship between HRM and ethics and across various sectors or organizations (i.e., public, private, not-for-profit, academic, etc.). That is, this book discusses the ever-evolving role of HRM professionals to include discussion of how the profession continues to take on more responsibility for developing and institutionalizing an ethical culture in their organizations, industries, and the broader society. It is our intent that the book also contributes to the need for ongoing dialogue, discussion or insights offered by HRM experts on what HRM professionals and their organizations can do in the face of ethical expectations, challenges, and scandals.

All the contributors in this book are interested in understanding the ethical responsibilities, actions, issues, and experiences that arise both within HRM and in HRM's interactions with individuals and organizations. Some of the questions the contributors will answer include:

1. Is it HRM's responsibility to be the ethical gatekeepers of their organizations?
2. What are the ethics of HRM?
3. What are the areas in which HRM professionals can have a major impact on ethics?
4. What is HRM's ethical responsibility or duty?
5. What is the importance of ethics in HRM?
6. What is HRM's role in establishing and institutionalizing an ethical orientation or culture in an organization?
7. What are the legal versus ethical responsibilities of HRM practitioners?
8. What are some HRM practitioners' experiences with ethics in executing their responsibilities?

The Chapters That Follow

Here is the information you will encounter as you read the chapters that follow this introductory piece.

In Chapter 2, "Unpaid Internships: Ethics, the Law, and the Practical Repercussions of the Labor-for-Experience Trade," J. Adam Shoemaker explores the legal, ethical, pedagogical, and practical repercussions of internships—particularly when unpaid. It offers recommendations on whether to pursue internships, how to compensate fairly on behalf of both employer and employee, and how HR professionals can support both the intern and the organization by ensuring that programs are compliant and enriching.

In Chapter 3, "Developing Talent through Leadership and Executive Coaching: Ethical Guidelines and Considerations," James P. Sartain, Jr. discusses solutions to HRM professionals fulfilling their responsibility in coordinating talent development. The chapter discusses difficulties HRM professionals face in effectively fulfilling this role, the increase in available solutions and the challenges in discerning fads from solutions offering evidence-based outcomes. Guidelines for assessing developmental needs, identifying solutions, and tracking outcomes are offered before concluding the chapter with a brief exploration of special ethical considerations facing HRM professionals.

In Chapter 4, "Ethical Bias: The Impact on Equal Pay" William Woska initially discusses the fact that the issue of equal pay for women goes back more than 100 years. Woska notes that even with the adoption of the Equal Pay Act by Congress in 1963, the pay for women has only increased from 59 cents for every dollar earned by a man to 80 cents. In addition, even though women are now dominating graduate and professional schools, they continue to earn less than men while doing the same work. Woska then focuses on the impact of ethical or unconscious bias by senior management when making decisions affecting an individual's pay not realizing that they are discriminating with respect to the compensation of women. The chapter concludes with a discussion of the need for employers to create a company culture based on gender equality and inclusion.

In Chapter 5, "Social Media Policies: Legal and Ethical Challenges," Karin Bogue first discusses the legal and ethical issues in recruitment and screening of employees and ends with suggestions for best practices. The next section reviews key employment-related cases involving NLRB Section 7 and 8 that shaped HR policies for employee use of social media through the years and examines the progression of lawsuits, administrative rulings and current guidelines related to employer policies on employee use of social media and ends with another set of best practices. The chapter goal is to educate employers, specifically human resources professionals, and employees on current best practices for social media policies to facilitate creation policies that comply with legal and ethical expectations for the industry. The chapter then discusses best practices for social media policies and provides guidance to assist employers and employees in behaving ethically and legally in their professional and personal use of social media. The chapter concludes by sharing insights on the future of social media policies in employment.

In Chapter 6, "Human Resources Management Audit and Compliance," Ronald R. Sims first offers an answer to the question: "Is there a difference between compliance and ethics?" The next section focuses on the question: "Why is compliance necessary?" The chapter then offers a detailed look at auditing HRM compliance. Before concluding the chapter, HRM checklists and practical actions available to HRM professionals for effectively completing audits are described.

In Chapter 7, "HRM's Role in Creating a Culture of Ethics / Integrity for Data Privacy and Breach Disclosure," Chon Abraham and Ronald R. Sims has five sections. The first section offers answers to the question of what is a data breach and its potential impacts. The second section offers a brief look at data breach notification laws. The third section discusses the importance of the relationship between consumer trust, data privacy, breach notification and ethics and CSR. The fourth section describes four data privacy and breach notification cultures and pays particular attention

to what we refer to as a culture of integrity. Finally, the last section provides some thoughts on what HRM professionals can do moving forward to build and implement cultures of integrity in their organizations that result in proactive data privacy and breach notification actions.

In Chapter 8, "Human Resources and Ethics: The Social Glue within a Banking Establishment," Sheri K. Bias and Wendy Brown will describe several potential areas that have been identified within the banking industry that lead to tests of employee ethics and integrity. The chapter will then discuss several ways to address ethical concerns within the banking industry in general before taking a closer look at how one financial institution (Bayport Credit Union) undertook this charge.

In Chapter 9, "Lessons Learned from the U.S. 7th Fleet's 'Fat Leonard' Scandal: At the Intersection of Ethics, Culture, and Human Resource Management" Marcia A. Beck argues that strategic approaches to HRM (SHRM) and HCM (SHCM) can more effectively lay the foundations for sustained ethical organizational climates and cultures that offer robust defenses against unethical behavior. Using the "Fat Leonard" corruption scandal in the U.S. Navy's 7th Fleet as the cautionary tale of the failure to strategically manage HR and HC policies, the analysis centers on the intersection between SHRM and SHCM, on the one hand, and between ethical organizational climate and ethical organizational culture, on the other. Beck suggests that the lessons learned can help SHR and SHC embed ethical standards and promote ethical behavior in their own organizations.

In Chapter 10, "Ethical Challenges Human Resource Managers experience in Healthcare Organizations" Rafael Rosado-Ortiz and Skeri K. Bias discuss some of the key functions and duties of the Human Resource Manager (HR Manager) that will challenge and test key professional ethical principles. Further, this chapter will identify and discuss areas and functions that the HR Manager needs to take into consideration when trying to implement effective initiatives that will facilitate a seamless process across both the administrative and clinical settings. The chapter additionally identifies the common human resource challenges that are present in today's healthcare setting and some of the strategies an HR Manager can put in place to recognize and address these challenges to help the HR Manager in being proactive and avoid the day-to-day ethical pitfalls.

In Chapter 11, "Human Resources Management: Ethical Audits and Culture," Ronald R. Sims first takes a look at HRM's role in organizational ethics to include a discussion of how HRM professionals influence an organization's ethics and ethical culture. Next, the chapter focuses on ethical audits. Then, the chapter discusses how HRM professionals and other organizational leaders can help create and institutionalize an ethical culture and organizational practices in their organizations before concluding the chapter.